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This makes a difference because Short Term Capital Gains Tax is 15% (profits booked in less than a year) and Long Term Capital Gains Tax is 10%, that too only for gains above 1 lakh.

So say you purchase a stock and sell it within 10 months, then you will be charged 15% Short Term Capital Gain tax on it. However, a mutual fund would be exempt from paying tax on it. Now say you sell the mutual fund unit after 2 years. Then all the short and long-term gains on the mutual fund will be added up and the cumulative losses over the 2 years subtracted. Then on the amount, you will only pay 10% Long Term Capital Tax, that too only for gains above 1 lakh.

This makes Mutual Funds more tax effective!

5. Liquidity



Need your money? Most mutual funds can be bought and sold during market hours. You can have the funds in your bank account within 1-3 working days.

6. Security



regulates



Mutual Funds

Mutual funds operate under the watchful eyes of regulatory bodies like SEBI and AMFI. Strict rules are in place to protect investors and keep things transparent. While it adds a layer of safety, remember that market risks are part of the game.